Executive Summary:

This report compares Coca-Cola and PepsiCo based on their financial performance from 2022 to 2024, with a focus on profitability, liquidity, and solvency, alongside management strategy and market outlook. Overall, Coca-Cola outperformed PepsiCo in key financial areas, including gross profit rate, profit margin, and earnings per share, showing more consistent and efficient operations. While both companies saw pressure on liquidity, Coca-Cola maintained a safer current ratio above 1.0, whereas Pepsi remained below the benchmark. In terms of solvency, both companies are highly leveraged, but Coca-Cola carries slightly less debt. From a strategic standpoint, Coca-Cola is focused on simplifying operations and empowering regional decision-making. PepsiCo, meanwhile, is undergoing a complex restructuring and digital transformation that could generate long-term value but introduces more near-term risk. Leadership at both companies is stable and experienced, but Coca-Cola's global integration and strategic execution currently give it an edge.

Based on this analysis and current stock performance, Coca-Cola is the stronger investment for long-term investors seeking consistency, stability, and reliable returns. PepsiCo may offer greater potential upside, but with more volatility and execution risk in the near term.

Background:

Coca-Cola and PepsiCo are two of the most well-known companies in the world. Both have been in the beverage industry for over a century and are recognized globally by their logos and products, which are sold in grocery stores, fast food chains, and gas stations.

Coca-Cola was founded in 1886 in Atlanta, Georgia. It began as a drink sold at a pharmacy and eventually became a company offering over 200 brands across more than 200 countries. As it grew, Coca-Cola expanded into teas, sports drinks, and even alcoholic beverages like Topo Chico Hard Seltzer. Although it mainly focuses on beverages, the company continues to explore

new categories to match evolving consumer preferences. Coca-Cola serves both domestic and international markets, with strong sales in North America, Latin America, Europe, and Asia. It uses a franchise bottling system that relies on local partners to produce and distribute its beverages around the world. The company is led by James Quincey, CEO and Chairman, and John Murphy, President and CFO. Quincey joined Coca-Cola in the 1990s and became CEO in 2017 and Chairman in 2019. Under their leadership, the company has shifted from focusing mostly on soda to becoming a total beverage company. Its strategy includes expanding low-sugar and health-conscious drink options, investing heavily in marketing through music, sports, and social media, and committing to sustainability by reducing plastic use and improving recycling practices.

PepsiCo was founded in 1965 and is Coca-Cola's largest competitor. It is a global company known for its strong portfolio of beverages and snacks, including brands like Pepsi, Mountain Dew, Gatorade, Lays, and Doritos. By offering both drinks and snacks, PepsiCo has built a diverse business model that generates more revenue and spreads risk. PepsiCo also operates in over 200 countries and serves both domestic and international markets. Its products are consumed over a billion times each day around the world. In addition to Coca-Cola, key competitors include Monster and Red Bull. PepsiCo is led by Chairman and CEO Ramon Laguarta, who took over as CEO in 2018 and became Chairman in 2019. He has been with the company since 1996 and previously led its international operations. Under his leadership, PepsiCo launched a long-term plan called pep+, which focuses on sustainability across its entire supply chain, from farming and packaging to distribution. The pep+ initiative aims to reduce greenhouse gas emissions, make packaging easier to recycle, and use healthier ingredients. PepsiCo is also investing in innovation to meet changing consumer demands, such as healthier snacks and zero-sugar beverages, while continuing to launch limited-time products that keep its brand fresh and relevant.

Financial review:

Profitability Analysis: Profitability Ratios Table

Company	Year	Gross Profit ($M)	Net Sales ($M)	Gross Profit Rate	Net Income ($M)	Profit Margin	EPS ($)
Coca-cola	2022	25,004	43,004	58.10%	9,542	22.20%	2.2
	2023	27,234	45,754	59.50%	10,714	23.40%	2.48
	2024	28,737	47,061	61.10%	10,631	22.60%	2.47
Pepsi	2022	46,587	86,492	53.86%	8,385	9.69%	6.42
	2023	49,182	91,565	53.71%	9,566	10.45%	6.99
	2024	50,324	94,327	53.35%	9,213	9.77%	6.63

Trend: Over the three-year period, Coca-Cola's gross profit rate increased steadily, reaching 61.1% in 2024. PepsiCo's remained relatively flat around 53%. Coca-Cola also maintained stronger profit margins, consistently staying around 22–23%, while PepsiCo stayed below 11%. Both companies saw a dip in EPS in 2024, but Coca-Cola's remained higher overall, showing more consistent earnings.

Interpretation: Coca-Cola is more profitable overall. Its rising gross profit rate suggests better production efficiency, and its higher margins indicate strong pricing power and brand strength. While EPS dipped slightly in 2024, it still outpaced PepsiCo's, showing stronger earnings performance. PepsiCo is managing costs, but its lower margins and flat gross profit suggest more pressure from operations and restructuring. Between the two, Coca-Cola shows greater efficiency and financial stability in profitability.

Liquidity Analysis: Liquidity Ratios Table

Company	Year	Current Assets ($M)	Current Liabilities ($M)	Current Ratio	Working Capital ($M)
Coca-cola	2023	26,732	23,571	1.13	3,161
	2024	25,997	25,249	1.03	748
Pepsi	2023	20,314	21,855	0.93	-1,541
	2024	21,457	22,567	0.95	-1,110

Trend: Coca-Cola's liquidity position weakened in 2024, with its current ratio dropping from 1.13 to 1.03 and working capital falling by over $2.4 billion. Despite this, it stayed just above the typical safety benchmark. In contrast, PepsiCo showed slight improvement, with its current ratio rising from 0.93 to 0.95 and working capital becoming less negative, though still below the safe zone.

Interpretation: Coca-Cola remains more liquid, with a current ratio above 1.0, meaning it can still cover short-term obligations. While its cushion is shrinking, it's in a safer spot than PepsiCo, whose working capital remains negative and current ratio below 1. Pepsi is managing assets more actively, but it's relying more on short-term debt to fund operations. If conditions worsen, it's more exposed. Overall, Coca-Cola has the stronger liquidity position, even with recent tightening.

Solvency Analysis: Solvency Ratios Table

Company	Year	Total Liabilities ($M)	Total Assets ($M)	Debt to Total Assets
Coca-cola	2023	60,369	83,947	71.90%
	2024	68,543	90,444	75.80%
Pepsi	2023	83,927	106,499	78.77%
	2024	85,865	109,139	78.68%

Trend: Both companies are heavily leveraged, but PepsiCo consistently carries more debt relative to its assets. Coca-Cola's debt ratio jumped nearly 4% in 2024, while PepsiCo's stayed flat at just under 79%.

Interpretation: Coca-Cola is slightly better positioned in terms of long-term debt. Although its leverage increased in 2024, it still carries less risk than PepsiCo, which has nearly 80% of its assets financed by debt. That level of leverage puts more pressure on PepsiCo to maintain

strong earnings and cash flow. While neither company is in a low-risk category, Coca-Cola offers a bit more financial stability on this front.

Strategic & Management Review

Current Strategy and Goals: Coca-Cola's strategy emphasizes brand loyalty, sustainability, and growth. The company has shifted toward low- and no-sugar products, smaller packaging, and eco-friendlier practices. In 2025, it removed the Global Ventures segment to give more control to regional teams. This change aims to boost local responsiveness while staying aligned with global brand goals. PepsiCo is pursuing broader changes focused on sustainable growth, digital transformation, and customer relevance. In 2025, it restructured its business by uniting North American food into one segment and breaking international markets into three clearer regions. PepsiCo is also increasing its use of AI across marketing, pricing, supply chains, and logistics.

Execution and Structural Moves: Internally, Coca-Cola has simplified its structure, shifting brand oversight to regional teams and organizing around six operating segments. Global marketing teams were added to support this model, making the company more agile and responsive to shifting consumer trends. PepsiCo's restructuring aligns with how it already operates and aims to reduce overlap while improving investor clarity. The company is also expanding AI-driven tools across operations. While promising, these changes introduce added complexity and potential risk.

Leadership and Management Effectiveness: Coca-Cola CEO James Quincey and CFO John Murphy provide experienced, consistent leadership. The executive team brings international and cross-functional expertise that supports Coca-Cola's global presence. Their leadership appears steady and proactive despite financial pressures. PepsiCo is led by CEO Ramon Laguarta and CFO Hugh Johnston, PepsiCo's leadership is focused on modernization. Their aggressive

transformation efforts reflect a forward-thinking approach, but success depends on smooth execution, especially during ongoing restructuring.

Challenges and Risks: For Coca-Cola, the company faces challenges around sugar regulations, environmental concerns, and rising operating costs. While steps have been taken, such as product reformulation and sustainable packaging, technology adoption has been slower than PepsiCo's. Higher debt and supply chain pressures also add financial risk. PepsiCo's broad product range spreads risk but complicates execution. Higher input costs, foreign currency risks, and political instability in some markets pose ongoing challenges. Health trends are reshaping demand, and while PepsiCo is adapting, its large-scale restructuring may face integration issues that delay progress.

Conclusion: Based on the financial analysis from 2022 to 2024 and the current market conditions, Coca-Cola stands out as the stronger and more consistent performer. It shows higher profitability with stronger and improving margins, steady earnings per share, and better control over costs. Coca-Cola also maintains a more favorable liquidity position and slightly better solvency. The company's strategy focuses on simplifying operations, cutting overhead, and giving more decision-making power to local teams, which helps it stay agile and aligned with customer needs. PepsiCo, on the other hand, is going through a broader transformation. Its strategy centers on long-term growth through digital upgrades, structural changes, and global expansion. While this may pay off down the line, it brings more complexity and short-term risk. Financially, Pepsi has underperformed in the past year and still operates with negative working capital. However, Pepsi stock trades at a lower price-to-sales ratio (2 times sales compared to Coca-Cola's 5.6), offers a higher dividend yield (3.71 percent versus 3.19 percent), and has lower volatility, making it attractive to investors who want yield and more defensive holdings.

As of now, PepsiCo’s stock trades at 140.80 dollars while Coca-Cola trades at 69.51 dollars. Even though Pepsi is expected to grow earnings by 5 percent in 2025 compared to Coca-Cola’s 3 percent, the return data tells a different story. Over the past year, Coca-Cola returned a positive 4 percent, while PepsiCo dropped by 11 percent. That gap highlights Coca-Cola’s steadier performance and stronger investor confidence.

Recommendation: If you are a long-term investor looking for stable dividends, global brand strength, and financial reliability, Coca-Cola is the better option at its current price. Its focus on efficiency, consistency, and responsiveness makes it well-suited for long-term performance. PepsiCo may still appeal to investors who are open to higher risk in exchange for slightly stronger growth, but its transformation strategy is still unfolding. For now, Coca-Cola offers a more dependable path for long-term value.

THE COCA-COLA COMPANY AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF INCOME
(In millions except per share data)

Year Ended December 31,		**2024**		2023		2022
Net Operating Revenues	**$**	**47,061**	$	45,754	$	43,004
Cost of goods sold		**18,324**		18,520		18,000
Gross Profit		**28,737**		27,234		25,004
Selling, general and administrative expenses		**14,582**		13,972		12,880
Other operating charges		**4,163**		1,951		1,215
Operating Income		**9,992**		11,311		10,909
Interest income		**988**		907		449
Interest expense		**1,656**		1,527		882
Equity income (loss) — net		**1,770**		1,691		1,472
Other income (loss) — net		**1,992**		570		-262
Income Before Income Taxes		**13,086**		12,952		11,686
Income taxes		**2,437**		2,249		2,115
Consolidated Net Income		**10,649**		10,703		9,571
Less: Net income (loss) attributable to noncontrolling interests		**18**		-11		29
Net Income Attributable to Shareowners of The Coca-Cola Company	**$**	**10,631**	$	10,714	$	9,542
Basic Net Income Per Share[1]	**$**	**2.47**	$	2.48	$	2.20
Diluted Net Income Per Share[1]	**$**	**2.46**	$	2.47	$	2.19
Average Shares Outstanding — Basic		**4,309**		4,323		4,328
Effect of dilutive securities		**11**		16		22
Average Shares Outstanding — Diluted		**4,320**		4,339		4,350

THE COCA-COLA COMPANY AND SUBSIDIARIES

CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME
(In millions)

Year Ended December 31,	**2024**	2023	2022
Consolidated Net Income	**$ 10649**	$10,703	$ 9,571
Other Comprehensive Income:			
Net foreign currency translation adjustments	**-2893**	736	-1,132
Net gains (losses) on derivatives	**270**	-178	4
Net change in unrealized gains (losses) on available-for-sale debt securities	**-63**	24	37
Net change in pension and other postretirement benefit liabilities	**109**	-109	408
Total Comprehensive Income	**8072**	11,176	8,888
Less: Comprehensive income (loss) attributable to noncontrolling interests	**9**	-158	-89
Total Comprehensive Income Attributable to Shareowners of The Coca-Cola Company	**$ 8063**	$ 11,334	$ 8,977

THE COCA-COLA COMPANY AND SUBSIDIARIES
CONSOLIDATED BALANCE SHEETS
(In millions except par value)

December 31,	2024	2023
ASSETS		
Current Assets		
Cash and cash equivalents	**$ 10,828**	$ 9,366
Short-term investments	**2,020**	2,997
Total Cash, Cash Equivalents and Short-Term Investments	**12,848**	12,363
Marketable securities	**1,723**	1,300
Trade accounts receivable, less allowances of $506 and $502, respectively	**3,569**	3,410
Inventories	**4,728**	4,424
Prepaid expenses and other current assets	**3,129**	5,235
Total Current Assets	**25,997**	26,732
Equity method investments	**18,087**	19,671
Deferred income tax assets	**1,319**	1,561
Property, plant and equipment — net	**10,303**	9,236
Trademarks with indefinite lives	**13,301**	14,349
Goodwill	**18,139**	18,358
Other noncurrent assets	**13,403**	7,796
Total Assets	**$ 100,549**	$ 97,703

Consolidated Statement of Income
PepsiCo, Inc. and Subsidiaries
Fiscal years ended December 28, 2024, December 30, 2023 and December 31, 2022
(in millions except per share amounts)

	2024	2023	2022
Net Revenue	**$ 91,854**	91,471	$ 86,392
Cost of sales	**41,744**	41,881	40,576
Gross profit	**50,110**	49,590	45,816
Selling, general and administrative expenses	**37,190**	36,677	34,459
Gain associated with the Juice Transaction (see Note 13)	**—**	—	-3,321
Impairment of intangible assets (see Notes 1 and 4)	**33**	927	3,166
Operating Profit	**12,887**	11,986	11,512
Other pension and retiree medical benefits (expense)/income	**-22**	250	132
Net interest expense and other	**-919**	-819	-939
Income before income taxes	**11,946**	11,417	10,705
Provision for income taxes	**2,320**	2,262	1,727
Net income	**9,626**	9,155	8,978
Less: Net income attributable to noncontrolling interests	**48**	81	68
Net Income Attributable to PepsiCo	**$ 9,578**	$ 9,074	$ 8,910
Net Income Attributable to PepsiCo per Common Share			
Basic	**$ 6.97**	$ 6.59	$ 6.45
Diluted	**$ 6.95**	$ 6.56	$ 6.42
Weighted-average common shares outstanding			
Basic	**1,373**	1,376	1,380
Diluted	**1,378**	1,383	1,387

Consolidated Statement of Comprehensive Income
PepsiCo, Inc. and Subsidiaries
Fiscal years ended December 28, 2024, December 30, 2023 and December 31, 2022
(in millions)

	2024	2023	2022
Net income	**$ 9,626**	$ 9,155	$ 8,978
Other comprehensive loss, net of taxes:			
Net currency translation adjustment	**-1,962**	-307	-643
Net change on cash flow hedges	**113**	-32	-158
Net pension and retiree medical adjustments	**5**	-358	389
Net change on available-for-sale debt securities and other	**-234**	465	4
Total other comprehensive loss, net of taxes	**-2,078**	-232	-408
Comprehensive income	**7,548**	8,923	8,570
Less: Comprehensive income attributable to noncontrolling interests	**48**	81	64
Comprehensive Income Attributable to PepsiCo	**$ 7,500**	$ 8,842	$ 8,506

Consolidated Balance Sheet
PepsiCo, Inc. and Subsidiaries
December 28, 2024 and December 30, 2023
(in millions except per share amounts)

	2024	2023
ASSETS		
Current Assets		
Cash and cash equivalents	**$ 8505**	$ 9,711
Short-term investments	**761**	292
Accounts and notes receivable, net	**10,333**	10,815
Inventories		
Raw materials and packaging	**2440**	2,388
Work-in-process	**104**	104
Finished goods	**2,762**	2,842
	5306	5,334
Prepaid expenses and other current assets	**921**	798
Total Current Assets	**25826**	26,950
Property, Plant and Equipment, net	**28,008**	27,039
Amortizable Intangible Assets, net	**1,102**	1,199
Goodwill	**17,534**	17,728
Other Indefinite-Lived Intangible Assets	**13,699**	13,730
Investments in Noncontrolled Affiliates	**1,985**	2,714
Deferred Income Taxes	**4,362**	4,474
Other Assets	**6,951**	6,661
Total Assets	**99,467**	$ 100,495

LIABILITIES AND EQUITY

Current Liabilities		
Short-term debt obligations	**$ 7,082**	6,510
Accounts payable and other current liabilities	**24,454**	25,137
Total Current Liabilities	**31,536**	31,647
Long-Term Debt Obligations	**37,224**	37,595
Deferred Income Taxes	**3,484**	3,895
Other Liabilities	**9,052**	8,721
Total Liabilities	**81,296**	$ 81,858
Commitments and contingencies		
PepsiCo Common Shareholders' Equity		
Common stock, par value 1 2/3¢ per share (authorized 3,600 shares; issued, net of repurchased common stock at par value: 1,372 and 1,374 shares, respectively)	**23**	23
Capital in excess of par value	**4,385**	4,261
Retained earnings	**72,266**	70,035
Accumulated other comprehensive loss	**-17,612**	-15,534
Repurchased common stock, in excess of par value 495 and 493 shares, respectively)	**-41,021**	-40,282
Total PepsiCo Common Shareholders' Equity	**18,041**	18,503
Noncontrolling interests	**130**	134
Total Equity	**18,171**	18,637
Total Liabilities and Equity	**99,467**	$ 100,495

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